The second type of restriction is when only a certain amount of FDI is permissible. In the pension sector, infrastructure company in the securities market and the insurance sector, for instance, permissible FDI is 49 per cent. In the case of PSBs, permissible FDI is only 20 per cent. In PVBs, permissible FDI is limited to 74 per cent. In multi-brand retail, permissible FDI is 51 per cent, that too only if the concerned state agrees to allow the operation of multi-brand retail.

FDI in most sectors is subject to laws and conditions. In e-commerce, it is only permissible in the business to business (B2B) segment but not in the business to consumer (B2C) segment. Further, it is permissible only in the inventory-based model of e-commerce. In the telecom sector, FDI is subject to observance of licencing and security conditions notified by the DoT. Only registered airline companies that have their principal place of business within India, whose chairman and at least two-thirds of directors are Indian citizens and whose substantial ownership and effective control is vested in Indian nationals are eligible for FDI.

The biggest restriction on FDI still in operation is the government-approval route. FDI in scheduled air transport service/domestic scheduled passenger airline beyond 49 per cent is possible only with the approval of the government. In print media, permissible FDI of 26 per cent is with government approval, while in broadcasting all permissible FDI is with government approval. Mining and mineral separation of titanium-bearing materials and multi-brand retail FDI are permissible only with the approval of the government. Likewise, FDI in several other sectors, such as private banking beyond 49 per cent, PSBs and pharmaceuticals beyond 74 per cent, also need government approval.

For some sectors, very detailed conditionalities have been laid in the FDI Master Circular.

The financial sector reform agenda is vast. Transformation of India’s financial sector and its massive growth is absolutely essential for India to